

7.9 KEY WORDS

- Chartalism** : Chartalism is a non-mainstream theory of money that emphasizes the impact of government policies and activities on the value of money. Chartalism states that money does not have intrinsic value, but is given value by the government. The central idea of the Chartalist approach is that the value of money is based on the power of the issuing authority and not on the embodied or backing precious metal. Central banks cannot control the money supply; rather, most government fiat money enters the economy as a result of fiscal policy.
- Conventional monetary policy tool** : During normal times, central banks use three tools of monetary policy open market operations, discount lending, and reserve requirements to control the money supply and interest rates, and these are referred to as conventional monetary policy tools.
- Helicopter money** : A helicopter drop, or helicopter money, is a hypothetical, unconventional tool of monetary policy that involves printing large sums of money and distributing it to the public in order to stimulate the economy.
- Institutional background** : As regards the conduct of monetary policy, the choice of targets, instruments and operating procedures was circumscribed to a large extent by the nature of the financial markets and the institutional arrangements.
- Intermediate targets** : In view of the fairly stable demand function for money, broad money (M3) has been treated as an intermediate target in the conduct of monetary policy in India.
- Macro-prudential policy** : Macro-prudential policy regime has been created to damp the financial cycle, and that will have implications for the future dynamics of the variables that tend to dominate the monetary policy debate, as well as the transmission mechanism of monetary policy.

Quantitative Easing (QE) : Generally speaking, quantitative easing is really just an extended open market operation involving the unsterilised swap of central bank money for privately held assets. The key difference is that the duration of the swap is both intended to be long-term and of uncertain length.

Unconventional monetary policy tool : A non - standard monetary policy or unconventional monetary policy is a tool used by a central bank or other monetary authority that falls out of line with traditional measures, e.g. credit easing, quantitative easing, forward guidance, and signaling.

7.10 SOME USEFUL REFERENCES

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<https://www.imf.org/external/pubs/ft/fandd/2010/06/pdf/subbarao.pdf>

7.11 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See section 7.2
- 2) See section 7.2
- 3) See section 7.2

Check Your Progress 2

- 1) See Sub-section 7.3.1
- 2) See Sub-section 7.3.2
- 3) See Sub-section 7.3.2
- 4) See Sub-section 7.3.3
- 5) See Sub-section 7.3.4
- 6) See Sub-section 7.4

Check Your Progress 3

- 1) See section 7.5
- 2) See section 7.6
- 3) See section 7.6
- 4) See section 7.7

7.12 TERMINAL QUESTIONS

- 1) “For achieving the goal fiscal and monetary policy should move in tandem.” Explain this statement and illustrate your answer with examples.
- 2) What is the proper objective function for monetary policy? How transparent should the central bank be?
- 3) Should the central bank be an inflation targeter? Give arguments. How is this policy being implemented in India?

- 4) “In the choice of the target, there is always a trade-off between ‘controllability’ of the target and the ‘attainment’ of the end objectives. The monetary policy mechanism holds the key in determining the target.” Do you agree with this statement? Give reasons for your answer.
- 5) Examine the various instruments being used by developed countries to make their monetary policy effective.
- 6) Explain transmission mechanism. What are its different forms? Is it important for the success of monetary policy?



UNIT 8 CENTRAL BANK: ITS ROLE AS REGULATOR OF THE BANKING SYSTEM

Structure

- 8.0 Objectives
- 8.1 Introduction
- 8.2 The Reserve Bank of India Act, 1934
- 8.3 The Banking Regulation Act, 1949
- 8.4 Combating Financial Terrorism
- 8.5 The Banking Ombudsman Scheme, 2006
- 8.6 RBI's Prudential Norms
- 8.7 Let Us Sum Up
- 8.8 Key Words
- 8.9 Some Useful Links
- 8.10 Answers/Hints to Check Your Progress Exercises

8.0 OBJECTIVES

After going through this unit, you will be able to:

- To identify the role and powers of the Reserve Bank of India to regulate the Indian banking sector under the Reserve Bank of India Act, 1934 and the Banking Regulation Act, 1949;
- To understand the RBI's Integrated Ombudsman Scheme, 2021;
- To identify the role of the RBI in combating financial terrorism; and
- To examine the RBI's prudential norms.

8.1 INTRODUCTION

Have you ever wondered how a country's Central Bank can influence the economy and impact your everyday life? Have you ever thought how the Indian Banking System Regulated by the Reserve Bank of India? How can a single institution wield such power over the entire economy? This unit tries to explain this power. The Reserve Bank of India, as per the Banking Regulation Act, 1949, is authorized to inspect and regulate banks in the interest of the banking system, and the welfare of depositors and the public. The Reserve Bank of India is responsible for regulating commercial banks and LABs under the Banking Regulation Act, 1949, the Reserve Bank of

India Act, 1934, and related laws. RBI's Department of Co-operative Bank Regulation (DCBR) regulates State Co-operative Banks (StCBs), District Central Co-operative Banks (DCCBs) and Urban Cooperative Banks (UCBs). RBI's main tasks include setting regulations for compliance with banking laws, such as licensing, branch expansion, reserve maintenance, and bank management. It also approves the establishment of bank subsidiaries and new banking activities. The Bank aims to foster a strong, diverse, and competitive banking system by establishing prudent regulations and staying updated on domestic and global developments to adapt policies accordingly. It strives to align regulatory standards of commercial banks with international best practices. To achieve its goal of establishing a world-class banking system in India, it maintains a flexible organizational structure with professionally skilled staff and adapts its activities to meet current needs.

8.2 THE RESERVE BANK OF INDIA ACT, 1934

The Reserve Bank of India Act, 1934 is very important law which gives various powers to the Reserve Bank along with its obligations. The Act is applicable to whole of India. The following sections are noteworthy:

Section 22: Exclusive power to issue currency notes

The text of section 22(1) goes as follows:

“The Bank shall have the sole right to issue bank notes in [India], and may, for a period which shall be fixed by the [Central Government] on the recommendation of the Central Board, issue currency notes of the Government of India supplied to it by the [Central Government], and the provisions of this Act applicable to bank notes shall, unless a contrary intention appears, apply to all currency notes of the Government of India issued either by the [Central Government] or by the Bank in like manner as if such currency notes were bank notes, and references in this Act to bank notes shall be construed accordingly”.

Interpretation: As per section 22(1), the RBI has exclusive power to issue bank notes for a time period fixed by the Central Government on the recommendation of the Central Board. Apart, it will issue the currency notes of the Government of India (e.g., ₹ 1 note). In this regard, the students are advised to read the press release¹ (dated 19th March 2016) made by the RBI. The link of the press release is given in the footnote.

Section 24: Demonetisation of currency notes

The two sub-sections of section 24 go as follows:

- 1) *Subject to the provisions of sub-section (2), bank notes shall be of the denominational values of two rupees, five rupees, ten rupees, twenty rupees, fifty rupees, one hundred rupees, five hundred rupees, one*

¹https://www.rbi.org.in/commonperson/english/scripts/Press_Releases.aspx?Id=1714

thousand rupees, five thousand rupees and ten thousand rupees or of such other denominational values, not exceeding ten thousand rupees, as the Central Government may, on the recommendation of the Central Board, specify in this behalf.

- 2) *The Central Government may, on the recommendation of the Central Board, direct the non-issue or the discontinuance of issue of bank notes of such denominational values as it may specify in this behalf.*

Interpretation: As per section 24(1), the RBI can issue the bank notes of ₹ 2, ₹ 5, ₹ 10, ₹ 20, ₹ 50, ₹ 100, ₹ 500, ₹ 1000, ₹5000, and ₹10,000 or such other note as specified by the Central Government on the recommendation of the Central Board². However, as per section 24(2), the RBI is required to stop the issue of the specified bank notes on being directed by the Central Government. The 2016 demonisation is a recent example in this regard in when the bank notes of ₹ 500, ₹ 1000 were discontinued.

Section 42: Cash reserves of scheduled banks to be kept with the RBI

Cash Reserves Ratio: According to section 42(1), every bank (whose name appears in the Second Schedule of the Act) is required to maintain with the RBI an average daily balance³. The amount of such balance cannot be less than the specified percentage (known as Cash Reserve ratio – CRR⁴) of the total of the demand and time liabilities in India as per the returns filed by the bank concerned under section 42(2). In this regard, according to Direction 4 of Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR), Directions – 2021⁵

“Every bank shall maintain in India by way of cash reserve, a sum equivalent to such percent of the total of its Net Demand and Time Liabilities (NDTL) in India, in such manner and for such dates, as the Reserve Bank in terms of Section 42(1) of the RBI Act, 1934 and Section 18(1) of BR Act, 1949 [including provisions of Section 18 (1) of the BR Act as applicable to cooperative banks], may specify, by notification in the Official Gazette, from time to time having regard to the needs of securing the monetary stability in the country”.

There is no upper or lower limit on CRR. Till 2006, the lower and upper CRR limits were 3% and 20% respectively.

Note: BR Act means the Banking Regulation Act, 1949.

Statutory Liquidity Ratio (SLR) : According to Section 42(2) of the RBI Act, notwithstanding anything contained in sub-section (1), the Reserve Bank

² Central Board means the Central Board of Directors of the Reserve Bank of India – Section 2 of the RBI Act, 1949.

³ Average daily balance means the average of the balances held at the close of business on each day of a fortnight. Further, fortnight means the period from Saturday to the second following Friday, both days inclusive.

⁴ As of 7th May 2024, the CRR is 4.5% (<https://rbi.org.in/Home.aspx>)

⁵ https://m.rbi.org.in/scripts/BS_ViewMasDirections.aspx?id=12131#

directs scheduled commercial banks to maintain with the Bank, in addition to the balance prescribed by or under sub-section (1) of the RBI Act, an additional average daily balance the amount of which shall not be less than the [rate specified in the notification, such additional balance being calculated with reference to the excess of the total of the demand and time liabilities of the bank as shown in the return referred to in sub-section (2) over the total of its demand and time liabilities] at the close of business on the date specified in the notification as shown by such return so however, that the additional balance shall, in no case, be more than such excess.

Consequent upon amendment to the Section 24 of the Banking Regulation Act, 1949, effective January 23, 2007, the Reserve Bank can prescribe the SLR for SCBs in specified assets. The value of such assets of a SCB shall not be less than such percentage not exceeding 40 per cent of its total DTL in India as on the last Friday of the second preceding fortnight as the Reserve Bank may, by notification in the Official Gazette, specify from time to time.

Thus, there is no lower limit of SLR requirement, however, the upper limit is 40 per cent.

8.3 THE BANKING REGULATION ACT, 1949

The Banking Regulation Act of 1949 is a significant legislation in India governing the operations of all banking entities within the country. Originally enacted as the Banking Companies Act of 1949, it became effective on March 16, 1949, and was later renamed as the Banking Regulation Act of 1949 on March 1, 1966. Initially, the law was limited to regulating banking companies. However, in 1965, amendments were made to include cooperative banks and introduce other modifications. The Banking Regulation Act provides a comprehensive framework for the supervision and regulation of commercial banking in India, complementing the Companies Act of 1956. Notably, primary agricultural credit societies and cooperative land mortgage banks are exempted from its provisions. Under this Act, the Reserve Bank of India (RBI) is empowered to license banks, oversee shareholding and voting rights, regulate board appointments and management, govern bank operations, prescribe audit instructions, manage moratoriums, mergers, and liquidations, issue directives for public welfare and banking policy, and levy penalties. In 1965, the Act was amended to extend its coverage to cooperative banks through Section 56. These banks, typically operating within a single state, are established and managed by the respective state governments. However, RBI retains authority over licensing and regulation of their business activities. The Banking Act serves as a complementary legislation to previous banking-related acts.

Revised Banking Regulation (Amendment) Act, 2020 is effective from 29th September 2020⁶. The amended Act encompassed 1,482 urban and 58 multi-state cooperative banks, subjecting them to RBI oversight. Notably, the Act

⁶ https://www.rbi.org.in/Scripts/BS_PressReleaseDisplay.aspx?prid=52595

empowered the RBI to undertake bank reconstructions or mergers without necessitating moratoriums. The following sections are noteworthy:

Section 22(1): Licensing of Banking Companies

As per section 22(1), no banking company can carry on its business without taking license from the RBI. The RBI is given the power to fix such conditions of license as it thinks to fit.

Section 22 (4): Cancelling license

According to section 22(4), the RBI reserves the power to cancel the license given to banking company under section 22(1). In the following circumstances, the RBI may cancel the license:

- a) if the company ceases to carry on banking business in India
- b) if the company at any time fails to comply with any of the conditions of license fixed by the RBI.
- c) if at any time, any of the conditions referred to in section 24(3), and section 24(3A) are not fulfilled.

Note: If the decision of the RBI to cancel the license is not appealed to the Central Government, then the decision of the RBI is final.

Section 23(1): Restrictions on opening of new, and transfer of existing, places of business

According to section 23(1), without the approval of the RBI, no banking company can open a new place of business in India or change (except within the same city, town or village) the location of its business in India.

Moreover, without the approval of the RBI, no banking company incorporated in India can establish a new branch outside India or relocate an existing one to a different location in any foreign country or area, except within the same city, town, or village. However, this restriction does not apply to the temporary opening of a branch for up to one month within the same locality where the banking company already operates, for events like exhibitions, conferences, fairs, or similar occasions, to provide banking services to the public.

Section 24: Maintenance of a percentage of assets

“A scheduled bank, in addition to the average daily balance which it is, or may be, required to maintain under Section 42 of the Reserve Bank of India Act, 1934 and every other banking company, in addition to the cash reserve which it is required to maintain under section 18, shall maintain in India, assets, the value of which shall not be less than such percentage not exceeding forty per cent, of the total of its demand and time liabilities in India is on the last Friday of the second preceding fortnight as the Reserve Bank may, by notification in the Official Gazette, specify from

time to time and such assets shall to maintained, in such form and manner, as may be specified in such notification”.

Interpretation: According to section 24(1), a scheduled bank and every other banking company is required to maintain a certain percentage (known as Statutory Liquidity Ratio – SLR⁷) of its assets in specified form like cash, gold, etc. This requirement is in addition to CRR as given section 42 of the RBI Act and however, these deposits are maintained by the banks themselves and not with the RBI. SLR cannot exceed 40 per cent. In case of inflationary pressure, the RBI might opt to raise SLR to diminish the credit creation ability of banks.

Section 26A: Establishment of Depositor Education and Awareness Fund Pursuant to the amendment of the Banking Regulation Act, 1949, section 26A has been added in 2013, granting the Reserve Bank the authority to establish The Depositor Education and Awareness Fund (the Fund). This section mandates that any account in India with any bank that has not been operated for ten years or any unclaimed deposit for over ten years be credited to the Fund within three months of the ten-year period expiring. The Fund is intended to promote depositors’ interests and for other purposes specified by the RBI. Depositors can still claim their deposits or operate their accounts even after the ten years have passed and the funds have been transferred. The bank is responsible for paying the depositor and then claiming a refund from the Fund.

Section 35: Inspection

The RBI can inspect any banking company and its books and accounts at any time, on being directed by the Central Government. After the inspection, the Reserve Bank has to give the banking company a copy of its report.

Check Your Progress 1

- 1) Describe some important sections of The Reserve Bank of India Act, 1934.

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- 2) What are the main provisions of the Banking Regulations Act, 1949?

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⁷ As of 7th May 2024, SLR is 18 percent.